

Sargodha Textile Mills (Pvt) Ltd

Independent Textile Compliance Audit Report

Audit Reference: EXP-SGD_TEX_005-20260510

Audited by: CertVerify Pakistan (Pvt) Ltd

Date of Issue: 2026-05-09

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Factory Profile

Legal entity	Sargodha Textile Mills (Pvt) Ltd
Location	Sargodha, Punjab, Pakistan
Factory ID	sgd_tex_005
Primary products	Woven shirting, Uniform fabrics, Workwear
Employee count	410
Annual export volume	PKR 2300.00 crore
Primary markets	EU, UK

Active Buyers

Buyer	PKR Cr	Share	Jurisdiction
EuroThread SA	105	45.7%	EU
BritMart Retail	80	34.8%	UK
CottonEast GmbH	45	19.6%	EU

Audit scope: EU CSDDD (Dir 2024/1760), UK Modern Slavery Act 2015 §54, SA8000 social compliance, EU REACH SVHC effluent screening, OEKO-TEX certification status, GSP+ ILO convention compliance.

Certifications

Certification	Status	Valid Until	Issuer	Notes
SA8000	NON_CONFORMANT	—	SAI	Held but a non-conformance was raised at audit.
ISO 14001	VALID	2028-03-10	BSI	Surveillance audit on file; valid for EU/UK shipments.
GOTS	NOT_HELD	—	—	Not applicable to current product lines.
OEKO-TEX	VALID	2027-04-20	OEKO-TEX Institute	Surveillance audit on file; valid for EU/UK shipments.

Self-Reported Compliance Claims

- *"All working hours within statutory limits"*
- *"Factory fully SA8000 compliant"*
- *"UK Modern Slavery statement submitted to buyers"*

Provided by Sargodha Textile Mills (Pvt) Ltd compliance team — 2026-05-09.

Independent Audit Measurements

Metric	Measured Value	Unit	Date	Source Document
Water effluent discharge	7.1	ppm	2026-03-18	certverify_water_audit
Weekly working hours	54	hours	2026-03-22	certverify_labour_audit
Overtime hours	6	hours/week	2026-03-22	certverify_labour_audit
Lead in dyes	38	ppm	2026-03-10	chemical_lab_report
Formaldehyde in fabric	220	ppm	2026-03-10	chemical_lab_report
CSDDD due diligence status	Missing	—	2026-04-05	internal_governance

Contradiction Cross-Check

#	Self-reported claim	Audit evidence	Confidence	Verdict
1	All working hours within statutory limits / Factory fully SA8000 compliant [sgd_compliance_self_report_q1.pdf]	Independent audit measured 54 hrs/week average — exceeds SA8000 48-hour regular week limit [sgd_labour_audit_q1_2026.pdf]	0.85	CONTRADICTION

Finding 1. The SA8000-compliance claim is undercut by a 54-hour audited week, exceeding the 48-hour regular-week limit.

Audit Findings Summary

Finding 1: Working hours must not exceed 48 regular hours per week.

Status: **NON_CONFORMANT** Severity: **HIGH** Regulation: SA8000

Finding 2: Establish and implement a due diligence policy identifying human rights and environmental risks in operations and supply chain.

Status: **MISSING** Severity: **HIGH** Regulation: EU CSDDD

Finding 3: Publish annual Modern Slavery and Human Trafficking Statement approved by board, signed by director, linked from homepage.

Status: **MISSING** Severity: **MEDIUM** Regulation: UK Modern Slavery Act

Risk Summary

Compliance Score	67/100
Risk Level	WARNING
Estimated Orders at Risk	PKR 805.00 crore
Buyers Materially Affected	EuroThread SA, BritMart Retail

Sargodha Textile Mills (Pvt) Ltd carries a compliance score of 67/100 (WARNING). The findings above place an estimated PKR 805.00 crore of orders at risk across EuroThread SA, BritMart Retail, driven principally by the highest-severity gaps listed. Remediating the action chain in full restores the factory to a 100/100 compliant posture.

This report was generated for the AISeekho 2026 Google Antigravity Hackathon submission (ExportIQ). It contains realistic but synthetic data for the named factories.